

International Islamic University Chittagong (IIUC)

Department of Computer and Communication Engineering

Midterm Examination

Program: **B.sc (Engg.)**
 Course Code: **ACC-3501**
 Total Marks: **30**

Semester: **Spring 2026**
 Course Title: **Financial and Managerial Accounting**
 Time: **1 Hours 30 Minutes**

- (i) Answer all the questions. The figures in the right-hand margin indicate full marks.
 (ii) Course Learning Outcomes (CLOs) and Bloom's Levels are mentioned in additional Columns.

Course Learning Outcomes (CLOs) of the Questions

- CLO1** Explain the basic concept of financial accounting, cost accounting and management accounting.
CLO2 Analyze the basic concept of Cost Accounting and preparation of Cost Sheet.
CLO3 Apply the tools from accounting and cost accounting this would facilitate the decision making i.e. Budgeting, Make or Buy decision.
CLO4 Compare the different business situations and suggest to best solution with analytical abilities.

Bloom's Levels of the Questions

Letter Symbols	R	U	Ap	An	E	C
Meaning	Remember	Understand	Apply	Analyze	Evaluate	Create

- Q1.** Lynn Greenspan practiced law with a partnership for 10 years. Recently she opened her own law office, which she operates as a proprietorship. The name of the new entity is Lynn Greenspan, Attorney. Greenspan experienced the following events during the organizing phase of the new business and its first month of operation. Some of the events were personal and did not affect the law practice. Others were business transactions and should be accounted for by the business.

July	1	Sold 1000 shares of Eastman Kodak stock, which she had owned personally for several years, receiving \$68000 cash.
	2	Deposited \$68000 cash from sale of the Eastman Kodak stock in her business bank account.
	3	Received \$170000 cash from the client for providing services.
	5	Deposited \$100000 cash in the new business bank account titled Lynn Greenspan, Attorney.
	6	A representative of a large company telephoned Greenspan and told her of the company's intention to transfer its legal business to Lynn Greenspan, Attorney.
	7	Paid \$500 cash office supplies.
	9	Purchased office furniture for the law office, agreeing to pay \$9500, within three months.
	23	Finished court hearing on behalf of a client and submitted her bill for legal services, \$3000 and got his promise to pay within one week.
	30	Paid office rent \$1900.
	31	Withdrew \$10000 cash from the business for personal use.

Required: Analyse the effects of the transactions on the accounting equation. **CLO2 An 10**

- Q2.** Dwyer Delivery Service completed the following transactions during its first month of operations:
- Paul Dwyer, the proprietor of the business, began operations by investing in the business \$ 5000 cash and a truck valued at \$ 10000
 - Paid \$ 200 cash for supplies.
 - Performed delivery services for a customer and received \$ 600 cash.

- d. Completed a large delivery job, billed the customer \$ 2000, and received a promise to be paid the \$ 2000 within one week.
- e. Received \$ 1000 cash from a customer on account.
- f. Paid utility bills \$150.
- g. Withdraw \$ 1900 for personal use.

Required: Journalize the transactions, post them to Ledger and prepare Trial Balance CLO3 Ap 10

Q3.

Super Employment Services, Inc.

Trial balance

December 31, 2014

Particular	Dr (Tk.)	Cr (Tk.)
Cash	6000	
Accounts receivable	5000	
Supplies	1000	
Furniture	10000	
Accumulated depreciation- Furniture		4000
Building	50000	
Accumulated depreciation- Building		30000
Account payable		2000
Unearned Service revenue		8000
Salary payable		
Common Stock		10000
Retained Earnings		2000
Drawings	25000	
Service revenue		60000
Salary expense	16000	
Supplies expense		
Advertising Expense	3000	
Depreciation expense- Furniture		
Depreciation expense- Building		
Total	116000	116000

Requirement: Prepare financial statements-i.e. Income Statement, Statement of Owners Equity and balance Sheet CLO3 U 10

OR

- Q3. (a) Define Accounting. Who are the users of accounting information? CLO3 U 5
- (b) Write down the rules of debit and credit. Discuss any two principles of accounting. CLO3 U 5

International Islamic University Chittagong
Department of Computer and Communication Engineering
B.Sc. Engineering in CCE

Midterm Examination, Autumn 2025

Course Code: ACC-3501

Course Title: Financial & Managerial Accounting

Time: 1 hour 30 minutes

Full Marks: 30

(i) Answer all the questions. The figures in the right-hand margin indicate full marks.

(ii) Course Outcomes (COs) and Bloom's Levels (BL) are mentioned in additional Columns.

	CLO Description	PO
CO1	Explain the basic concepts of financial accounting, cost accounting, and management accounting.	PO11
CO2	Analyze the basic concept of Financial and Cost Accounting and preparation of different statements and reports.	PO11
CO3	Apply the tools from financial accounting and cost accounting to facilitate the decision making i.e., Budgeting, Make or Buy decision.	PO11
CO4	Compare the different business situations and suggest to best solution with analytical abilities.	PO11

Bloom's Levels (BL) of the Questions						
Letter Symbols	C1	C2	C3	C4	C5	C6
Meaning	Remember	Understand	Apply	Analyze	Evaluate	Create

1	a)	How would you identify a transaction? 'Accounting is a language of Business' - Explain this statement.	CO1	C2	5
1	b)	Explain accounting equation. Who are the users of accounting information?	CO1	C2	5
2		Livon i) Invested \$50,000 cash and \$30,000 furniture in the business. ii) Paid \$40,000 cash for Land. iii) Purchased \$500 of Office Supplies on account. iv) Received \$5,500 cash from clients for accounting service revenue earned. v) Performed accounting service for a client on account, \$3,000. Required: a) Journalize the above transactions. b) Post the Journal entries to the ledger. c) Prepare a Trial Balance.	CO2	C3	10
3	a)	Style fashion owns and operates an interior design studio called "SF's Interiors". a. Invested cash of \$1,800 in the business. b. Performed legal service for a client on account, \$650. c. Purchased on account office furniture at a cost \$500. d. Received cash on account, \$400. e. Paid cash on account, \$250. f. Sold land for \$12,000, which was the cost of the land. g. Paid \$90 cash to purchase office supplies. h. Performed legal service for a client and received cash of \$2,000. i. Paid monthly office rent of \$700. Required: Analyze the effects of the above transactions on the accounting equation.	CO2	C4	10
OR					
3	b)	A business concern completed the following transactions during its first month of operations: i) Investment by owner Tk. 250000 ii) Purchase of equipment Tk. 27000 iii) Purchase of supplies on credit Tk. 3600 iv) Services provided for cash Tk. 3000 v) Payment of expenses; rent Tk. 800, salaries Tk. 1000 vi) Withdrawal of cash by owner Tk. 2300 Required: Prepare income statement, Statements of Owners Equity and Balance sheet.	CO2	C4	10

International Islamic University Chittagong (IIUC)

Department of Computer and Communication Engineering

Midterm Examination

Course Code: ACC-3501

Course Title: Financial & Managerial Accounting

Time: 1 hour 30 minutes

Full Marks: 30

(i) Answer all the questions. The figures in the right-hand margin indicate full marks.

(ii) Course Outcomes (COs) and Bloom's Levels (BL) are mentioned in additional Columns.

Letter Symbols Meaning		Bloom's Levels (BL) of the Questions																														
		C1 Remember	C2 Understand	C3 Apply	C4 Analyze	C5 Evaluate	C6 Create																									
1	a)	'Accounting is a language of Business'-Explain this statement. Discuss the various types of business organization.				CO1	C2	5																								
1	b)	Explain accounting equation. Who are the users of accounting information?				CO1	C2	5																								
2	a)	Green Life Company started a internet service organization in January, 2019. During the first month of operations completed the following selected transactions: Jan. 1 began the business with an investment of TK105,000 cash and a building valued at TK 565,000. Jan. 3 Paid Rent and Advertisement expenses-TK15500 and TK10100 respectively. Jan.5 Purchased office supplies on account, TK4000. Jan. 10 Performed service on account of Tk. 50000.				CO2	C3	10																								
Required: i) Journalize the above transactions. ii) Post the Journal entries to the ledger. iii) Prepare a Trial Balance.																																
3	a)	Style fashion owns and operates an interior design studio called "SF's Interiors". The following amounts summarize the financial position of the business on May 31, 2020:				CO2	C4	10																								
<table><tr><td colspan="4"><u>Assets</u></td><td>=</td><td><u>Liabilities +</u></td><td colspan="2"><u>Owner's Equity</u></td></tr><tr><td colspan="4">Cash + A / R + Supplies + Land</td><td>=</td><td>A / P +</td><td colspan="2">Hamid's Capital</td></tr><tr><td>Balance</td><td>10,350</td><td>6,500</td><td>3100</td><td>15,000</td><td>11,100</td><td colspan="2">23,850</td></tr></table> During May 2020, the following transactions occurred: May-1: SF's additional investment \$20,500 in the business. May-3: Performed services for a client and received cash of \$4,000. May-7: Paid off the beginning balance of Accounts Payable \$10,000. May-10: Purchased supplies on account, \$400. May-17: Consulted on the interior design of a major office building and billed the client for the service rendered, \$4500.									<u>Assets</u>				=	<u>Liabilities +</u>	<u>Owner's Equity</u>		Cash + A / R + Supplies + Land				=	A / P +	Hamid's Capital		Balance	10,350	6,500	3100	15,000	11,100	23,850	
<u>Assets</u>				=	<u>Liabilities +</u>	<u>Owner's Equity</u>																										
Cash + A / R + Supplies + Land				=	A / P +	Hamid's Capital																										
Balance	10,350	6,500	3100	15,000	11,100	23,850																										

May-25: Recorded the following business expenses for the month: i) Paid office rent -\$900, ii) Paid advertising ---\$500, iii) Paid utilities --\$800.

May-31: Withdraw cash of \$1,500 for personal use.

Required: Analyze the effects of the above transactions on the accounting equation.

OR

- 3 a) A business concern completed the following transactions during its first month of operations: CO2 C4 10
- i) Investment by owner Tk. 15000
 - ii) Purchase of equipment Tk. 7000
 - iii) Purchase of supplies on credit Tk. 1600
 - iv) Services provided for cash Tk. 2000
 - v) Payment of expenses; rent Tk. 600, salaries Tk. 900
 - vi) Withdrawal of cash by owner Tk. 1300

Required: Prepare income statement, Statements of Owners Equity and Balance sheet.

International Islamic University Chittagong (IIUC)

Department of Computer and Communication Engineering

Midterm Examination

Program: B.sc (Engg.)
Course Code: ACC-3501
Total Marks: 30

Semester: Spring 2024
Course Title: Financial and Managerial Accounting
Time: 1 Hours 30 Minutes

- (i) Answer all the questions. The figures in the right-hand margin indicate full marks.
(ii) Course Learning Outcomes (CLOs) and Bloom's Levels are mentioned in additional Columns.

Course Learning Outcomes (CLOs) of the Questions

- CLO1** Explain the basic concept of financial accounting, cost accounting and management accounting.
CLO2 Analyze the basic concept of Cost Accounting and preparation of Cost Sheet.
CLO3 Apply the tools from accounting and cost accounting this would facilitate the decision making i.e. Budgeting, Make or Buy decision.
CLO4 Compare the different business situations and suggest to best solution with analytical abilities.

Bloom's Levels of the Questions

Letter Symbols Meaning	R Remember	U Understand	Ap Apply	An Analyze	E Evaluate	C Create
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- Q1. a)** Accounting is an information system- Explain the statement indicating how the information system is useful for different types of users. Identify two branches of accounting for providing information to different users. **CLO1 U 4**
- b)** Write short notes with example:
Economic Entity assumption, Historical cost principle, Matching principle, Materiality. **CLO1 U 6**
- Q2. (a)** Lynn Greenspan practiced law with a partnership for 10 years. Recently she opened her own law office, which she operates as a proprietorship. The name of the new entity is Lynn Greenspan, Attorney. Greenspan experienced the following events during the organizing phase of the new business and its first month of operation. Some of the events were personal and did not affect the law practice. Others were business transactions and should be accounted for by the business. **CLO2 An 10**

July	1	Sold 1000 shares of Eastman Kodak stock, which she had owned for several years, receiving \$68000 cash.
	2	Deposited the \$68000 cash from sale of the Eastman Kodak stock in her personal bank account.
	3	Received \$170000 cash from former law partners.
	5	Deposited \$100000 cash in the new business bank account titled Lynn Greenspan, Attorney.
	6	A representative of a large company telephoned Greenspan and told her of the company's intention to transfer its legal business to Lynn Greenspan, Attorney.
	7	Paid \$500 cash to letterhead stationary for the new law office.
	9	Purchased office furniture for the law office, agreeing to pay the account, \$9500, within three months.
	23	Finished court hearing on behalf of a client and submitted her bill for legal services, \$3000.
	30	Paid office rent \$1900.
	31	Withdrew \$10000 cash from the business for personal use.

Required: Analyse the effects of the transactions on the accounting equation.

Q3. Mrs. Tania started and operates an event management business firm named **Daily Success** on January 01, 2024 and had the following on January 31 2024: Cash \$50,000, furniture \$5,000, capital \$40,000 and account payable \$15,000. During this month the following transactions took place: **CLO2 E 10**

- a) Tania invested \$70,000 cash in a business bank account and Furniture valued \$10,000.
- b) Paid \$20,000 for a building to be used as an office.
- c) Purchased office supplies \$2,000 on account.
- d) Performed service for a client and received cash of \$2,000.
- e) Paid \$5,000 of business fund for her family maintenance.
- f) Arranged a corporate event and billed the client for services rendered, \$5000.

Required:

- i. Record each transaction in the journal.
- ii. Post the transactions in to the ledger.
- iii. Prepare a trial balance.

OR

Q3. (a) Dwyer Delivery Service completed the following transactions during its first month of operations: **CLO3 Ap 10**

- a. Paul Dwyer, the proprietor of the business, began operations by investing in the business \$ 5000 cash and a truck valued at \$ 10000
- b. Paid \$ 200 cash for supplies.
- c. Performed delivery services for a customer and received \$ 600 cash.
- d. Completed a large delivery job, billed the customer \$ 2000, and received a promise to be paid the \$ 2000 within one week.
- e. Received \$ 900 cash for performing delivery services.
- f. Received \$ 2000 cash from a customer on account.
- g. Paid for the advertising in the local news paper, \$ 170
- h. Paid utility bills \$150
- i. Performed delivery service on account, \$ 800
- j. Paid employee salary, \$ 800, and office rent \$200

Withdraw \$ 1900 for personal use.

Required: Journalize the transactions, post them to Ledger and prepare Trial Balance

Department of Computer and Communication Engineering
Midterm Examination

Program: B.Sc (Engg.)
Course Code: ACC-3501
Total Marks: 30

Semester: Spring 2023
Course Title: Financial & Managerial Accounting
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(II) Course Learning Outcomes (CLOs) and Bloom's Levels are mentioned in additional Column.

Course Learning Outcomes (CLOs) of the Questions

- | | |
|-------------|---|
| CLO1 | Identify the legal problems in social and environmental contexts commonly encountered by engineers in their professional fields/industries. |
| CLO2 | Understand the impact of knowledge about constitutional provisions for the protection of environment need for development. |
| CLO3 | Demonstrate analytical knowledge skills through investigation and evaluation of ethical problems in engineering settings. |

Bloom's Levels of the Questions

Letter Symbols	R	U	Ap	An	E	C
Meaning	Remember	Understand	Apply	Analyze	Evaluate	Create

- | | | | | | |
|---|---|--|-----|----|----|
| 1 | a | "Prepaid expense is an asset to a business", explain this statement with some example | CO1 | Un | 4 |
| | b | What is Accounting Ethics? Discuss some principles of accounting. | CO1 | Un | 6 |
| 2 | a | <p>ABC Dealing is a business owned and run by Alan B. Crick. Whilst the following events took place in the first few days of this month, ledger accounts have not yet been written up and that will become your task here.</p> <p>01-Jun The business bank account is in funds by £1,500 and there is £2,000 cash in the business's office safe. Open accounts as relevant and simply show these as existing balances brought forward.</p> <p>01-Jun Bought new inventory on credit from N Joshi and received an invoice for £1,800 inclusive of VAT.</p> <p>01-Jun Sold goods to Joan's Phones on credit and sent an invoice for £3,500.</p> <p>01-Jun Alan B Crick puts £2,500 into the business bank account and puts £2,500 into the office safe. This is all new money to his business.</p> <p>02-Jun Purchased goods for resale in cash from MTC Wholesale and their cash invoice/receipt was £2,000 goods.</p> <p>03-Jun Sold more goods for £2,700 and all customers paid by cheque.</p> <p>04-Jun Alan B Crick sold personal investment in Amazing.com stock, which he had owned for several years, receiving £2,000 cash.</p> <p>05-Jun Goods returned by Joan's Phones and ABC issued a credit note for £250.</p> <p>06-Jun Alan purchased a second-hand van solely for use within ABC Dealing from D Trotter in cash for £(Last Four digit of your student ID).</p> <p>Required:</p> <p>1) Record each transaction in the journal.</p> <p>2) Post the transaction to the ledger with label the balance of each account.</p> <p>Oliver Goldsmith opened a law office on September 3 of the current year.</p> | CO2 | An | 10 |

3 a During the first month of operations, the business completed the following CO2 E
)) transactions:

Sep.3- Goldsmith transferred \$2,000 cash from his personal bank account to a business account entitled Oliver Goldsmith, Attorney.

Sep.4- Purchased supplies, \$200, and furniture, \$1,800, on account.

Sep.6- Performed legal services for a client and received \$1,000 cash.

Sep.7- Paid \$15,000 cash to acquire land for a future office site.

Sep.10- Defended a client in court, billed the client \$900.

Sep.13- Paid for the furniture purchased September 4 on account.

Sep.15- Paid secretary salaries, \$600.

Sep.17- Paid the telephone bill, \$120.

Sep.23- Received partial payment from client on account, \$700.

Sep.24- Prepared legal documents for a client on account, \$800.

Sep.26- Paid the water and electricity bills, \$110.

Sep.27- Received \$1,500 cash for helping a client sell real estate

Sep.28- Paid secretary salaries, \$600.

Sep.28- Paid rent expenses, \$500

Sep.30- Withdraw \$2,000 for personal use.

Required

1. Analyze the effects of the above transactions on the accounting equation of Oliver Goldsmith.

OR

3 a Andrea Scarlett is a realtor. She organized her business as a corporation,
)) Andrea Scarlett, Realtor, P.C. (Professional Corporation)

1. The business owes \$61,000 on a note payable for land that the business acquired for a total price of \$83,000.

2. The business spent \$23,000 for a Zinka Banker real estate franchise, which entitles the business to represent itself as a Zinka Banker office. This franchise is a business asset.

3. Scarlett owes \$80,000 on a personal mortgage for her personal residence, which she acquired in 2012 for a total price of \$160,000.

4. Scarlett has \$5,000 in her personal bank account, and the business has \$9,000 in its bank account.

5. Scarlett owes \$(Last Four digit of your student ID) on a personal charge account with Chico's.

6. The office acquired business furniture for \$15,000 on September 25. Of this amount, the business owes \$2,000 on account at September 30.

7. Office supplies on hand at the real estate office total \$1,300.

8. Received partial payment from client on account, \$700

9. Received \$1,500 cash for helping a client.

10. Scarlett received a birthday gift from his friend valued \$3000.

Required

1. Prepare the Financial Statement.